

C717

Business Ethics

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
-----------------------------	---	------------------------	----------------------------------

Items

1.

A pharmaceutical executive who holds an MBA from a top school decides to disclose a minor side effect on the label even though disclosure will cut sales and no regulation requires it. She explains that the company has a duty to tell patients the truth, whatever the outcome. Which theory is she using?

- A. Deontology.
- B. Utilitarianism, because patients benefit in the end.
- C. Virtue ethics.
- D. Utilitarianism.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A manager decides to close an unprofitable branch after estimating that the savings will protect far more jobs elsewhere than the branch employs. Which theory best describes this reasoning?

- A. Deontology.
- B. Ethical egoism.
- C. Utilitarianism.
- D. Virtue ethics.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A clothing retailer headquartered in a converted mill is choosing a new factory. The CEO considers wages for workers, safety for local residents, delivery reliability for customers, and returns for investors before deciding. The CEO recently won a design award. Which view is guiding the CEO?

- A. The stakeholder view, which ignores investor returns.
- B. The stakeholder view.
- C. Philanthropic responsibility.
- D. The shareholder view.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A trucking company that recently repainted its fleet green voluntarily installs emission filters that go beyond what federal law requires, because leaders believe it is the right thing to do. It is profitable and fully compliant with all regulations. Which level of Carroll's pyramid does the filter decision reflect?

- A. Philanthropic responsibility.
- B. Legal responsibility.
- C. Philanthropic, because the green paint shows community spirit.
- D. Ethical responsibility.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

In Carroll's CSR pyramid, which responsibility forms the base on which all others rest?

- A. Economic.
- B. Philanthropic.
- C. Ethical.
- D. Legal.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A lender with a popular mobile app and branches in four states sells high-fee loans to borrowers who clearly cannot repay, in a state with no rules against it. When questioned, a senior manager says, "We checked with counsel; it's completely legal." The loans are the firm's fastest-growing product. Is the practice ethical?

- A. Not necessarily; it may be legal but still unethical because it knowingly harms borrowers.
- B. Yes; the product's growth proves customers want it.
- C. No; any high-fee loan is always unethical.
- D. Yes; if counsel says it is legal, it is ethical.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A purchasing director with a spotless 20-year record is choosing among three IT vendors. Her brother-in-law owns one of them. She believes she can judge fairly and the vendor's bid is the lowest. The office recently moved to a new building. What should she do?

- A. Reject her brother-in-law's firm automatically.
- B. Proceed, because she intends to be fair.
- C. Disclose the relationship and step away from the decision.
- D. Proceed, because the bid is lowest.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A junior accountant at a fast-growing software company with a rooftop garden discovers that revenue is being booked for contracts not yet signed. Her supervisor is not involved, and the company has an anonymous ethics hotline run by an outside firm. What is the best first step?

- A. Say nothing to stay loyal to the company.
- B. Document what she found and report it through internal channels such as her supervisor or the hotline.
- C. Quit immediately without telling anyone.
- D. Post the evidence on social media.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A manufacturer with a 40-page code of ethics posted in every break room and a new visitor center finds that misconduct keeps rising. Senior leaders often skip ethics training, and employees who report problems are quietly passed over for promotion. What is the most important fix?

- A. Post the code in more locations.
- B. Rewrite the code to 60 pages.
- C. Rely on harsher punishments alone.
- D. Have leaders visibly model the code and protect people who report concerns.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A company's ethics program relies mainly on detailed rules, audits, and penalties for violations. What kind of program is this?

- A.** Philanthropic.
- B.** Values-based.
- C.** Stakeholder-based.
- D.** Compliance-based.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A sales rep who has worked at a car dealership for three years and drives a red truck refuses to roll back odometers when his manager asks. He explains, "I don't want to get caught and lose my commission." Which Kohlberg level does his reasoning reflect?

- A.** Postconventional.
- B.** Conventional.
- C.** Preconventional.
- D.** Postconventional, because he did the right thing.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

An engineer refuses to approve an unsafe bridge design even though her firm and local officials say it meets code, arguing that human life must come first. Which Kohlberg level does this reasoning reflect?

- A.** Preconventional.
- B.** Postconventional.
- C.** Conventional.
- D.** Conventional, because she follows engineering rules.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A pharmaceutical executive ~~who holds an MBA from a top school~~ decides to disclose a minor side effect on the label even though disclosure will cut sales and no regulation requires it. She explains that the company has a duty to tell patients the truth, whatever the outcome. Which theory is she using?

Target word: name the theory **Decides:** Duty to tell the truth regardless of outcome.

A	Correct	Acting from duty regardless of consequences is deontological.
B	Inverted operation	Reverses her stated reasoning: she said "whatever the outcome."
C	Adjacent category	Close, but she appeals to duty, not character.
D	Confusion set	Utilitarianism would weigh the sales loss against benefits.

2. Answer C Concept 1 • transfer

A manager decides to close an unprofitable branch after estimating that the savings will protect far more jobs elsewhere than the branch employs. Which theory best describes this reasoning?

Target word: name the theory **Decides:** Weighing total consequences.

A	Inverted operation	Deontology would focus on duties owed, not totals.
B	Adjacent category	Egoism serves the decision maker's own interest.
C	Correct	Choosing the option with the greatest net good is utilitarian.
D	Confusion set	Virtue ethics asks about character, not counts of jobs.

3. Answer B Concept 2

A clothing retailer ~~headquartered in a converted mill~~ is choosing a new factory. The CEO considers wages for workers, safety for local residents, delivery reliability for customers, and returns for investors before deciding. ~~The CEO recently won a design award.~~ Which view is guiding the CEO?

Target word: name the view **Decides:** Balancing interests of multiple affected groups.

A	Absolute language	The stakeholder view includes shareholders; it does not exclude them.
B	Correct	Weighing effects on workers, community, customers, and owners is stakeholder thinking.
C	Adjacent category	Philanthropy is giving back, not balancing decision interests.
D	Dropped element	Drops everyone except investors.

4. Answer D Concept 3

A trucking company ~~that recently repainted its fleet green~~ voluntarily installs emission filters that go beyond what federal law requires, because leaders believe it is the right thing to do. It is profitable and fully compliant with all regulations. Which level of Carroll's pyramid does the filter decision reflect?

Target word: classify the action **Decides:** Beyond legal requirements, done because it is right.

A	Confusion set	Philanthropy is discretionary giving to the community.
B	Adjacent category	The filters exceed what the law requires.
C	Camouflage	The paint color is irrelevant.
D	Correct	Doing what is right beyond the law is the ethical level.

5. Answer A Concept 3 • transfer

In Carroll's CSR pyramid, which responsibility forms the base on which all others rest?

Target word: identify the base **Decides:** The pyramid builds from economic viability.

A	Correct	A firm must be profitable to meet its other responsibilities.
B	Inverted operation	Philanthropy is the top of the pyramid, not the base.
C	Confusion set	Ethical is the third level.
D	Adjacent category	Legal is the second level.

6. Answer A Concept 4

A lender ~~with a popular mobile app and branches in four states~~ sells high-fee loans to borrowers who clearly cannot repay, in a state with no rules against it. When questioned, a senior manager says, "We checked with counsel; it's completely legal." ~~The loans are the firm's fastest-growing product.~~ Is the practice ethical?

Target word: legal vs. ethical **Decides:** Legality is a floor, not proof of ethics.

A	Correct	The law sets a minimum; knowingly exploiting borrowers raises ethical problems.
B	Camouflage	Growth does not settle whether it is right.
C	Absolute language	The problem is lending to people who clearly cannot repay, not all high-fee loans.
D	Inverted operation	Treats legality as the end of ethical analysis.

7. Answer C Concept 5

A purchasing director ~~with a spotless 20-year record~~ is choosing among three IT vendors. Her brother-in-law owns one of them. She believes she can judge fairly and the vendor's bid is the lowest. ~~The office recently moved to a new building.~~ What should she do?

Target word: handling a conflict **Decides:** A family financial tie to one option.

A	Adjacent category	Overcorrects; the fix is recusal, letting others judge the bid.
B	Dropped element	Drops the conflict; intent does not remove the risk or appearance.
C	Correct	Disclosure and recusal protect both the decision and trust.
D	Camouflage	A good bid does not cure a conflict of interest.

8. Answer B Concept 6

A junior accountant at a fast-growing software company ~~with a rooftop garden~~ discovers that revenue is being booked for contracts not yet signed. Her supervisor is not involved, and the company has an anonymous ethics hotline run by an outside firm. What is the best first step?

Target word: first step **Decides:** Internal channels are available and not compromised.

A	Inverted operation	Silence lets fraud continue.
B	Correct	Internal reporting first, with documentation, is the standard path when channels are intact.
C	Dropped element	Drops reporting altogether.
D	Adjacent category	Public disclosure first skips safer channels and may harm her and the investigation.

9. Answer D Concept 7

A manufacturer with a 40-page code of ethics posted in every break room ~~and a new visitor center~~ finds that misconduct keeps rising. Senior leaders often skip ethics training, and employees who report problems are quietly passed over for promotion. What is the most important fix?

Target word: fix for the ethics program **Decides:** Tone at the top and safe reporting are missing.

A	Dropped element	Visibility of the text is not the gap.
B	Adjacent category	A longer code does not fix leadership behavior.
C	Absolute language	Compliance-only approaches are weaker than values-based programs.
D	Correct	Tone at the top and safe reporting make a code real.

10. Answer D Concept 7 · transfer

A company's ethics program relies mainly on detailed rules, audits, and penalties for violations. What kind of program is this?

Target word: classify program **Decides:** Rules and punishment focus.

A	Confusion set	A CSR level, not an ethics program type.
B	Inverted operation	Values-based programs emphasize shared values, leadership, and judgment.
C	Adjacent category	A view of corporate purpose, not a program design.
D	Correct	Rules, monitoring, and penalties define a compliance-based program.

11. Answer C Concept 8

A sales rep ~~who has worked at a car dealership for three years and drives a red truck~~ refuses to roll back odometers when his manager asks. He explains, "I don't want to get caught and lose my commission." Which Kohlberg level does his reasoning reflect?

Target word: name the level **Decides:** Reasoning centers on avoiding punishment and protecting his own reward.

A	Inverted operation	He cites self-interest, not principle — the opposite end.
B	Adjacent category	Conventional reasoning appeals to rules or others' expectations.
C	Correct	Fear of getting caught and losing rewards is preconventional reasoning.
D	Dropped element	Drops his stated reason; the level depends on reasoning, not the act.

12. Answer B Concept 8 · transfer

An engineer refuses to approve an unsafe bridge design even though her firm and local officials say it meets code, arguing that human life must come first. Which Kohlberg level does this reasoning reflect?

Target word: name the level **Decides:** Universal principle over rules and authority.

A	Confusion set	She does not cite punishment or personal reward.
B	Correct	Placing universal principles above rules and authority is postconventional.
C	Inverted operation	Conventional reasoning would defer to the code and officials.
D	Adjacent category	She goes beyond the rules, which say the design meets code.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	11	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Utilitarian, deontological, and virtue ethics	Utilitarianism judges acts by their consequences for total well-being; deontology judges acts by duties and rules regardless of outcome; virtue ethics asks what a person of good character would do.	Labeling any rule-following choice utilitarian or any good-outcome choice deontological.	Whether the reasoning appeals to outcomes, duties, or character.
2	Stakeholder vs. shareholder view	The shareholder view holds that a firm's duty is to maximize owner value within the law; the stakeholder view holds that managers must balance the interests of all groups affected, such as employees, customers, suppliers, and communities.	Assuming the stakeholder view means ignoring shareholders.	A decision weighed only by share price vs. by its effects on several groups.
3	Carroll's CSR pyramid	Corporate social responsibility builds from economic (be profitable), to legal (obey the law), to ethical (do what is right beyond the law), to philanthropic (give back) responsibilities.	Treating philanthropy as the foundation or confusing ethical with legal duties.	An action that goes beyond what the law requires, or charitable giving.
4	Legal is not the same as ethical	The law sets a minimum standard; an action can be legal yet unethical, so ethical analysis must go beyond compliance.	Ending the analysis with "it's legal."	A choice defended only by pointing out that no law forbids it.
5	Conflicts of interest	When a personal interest could influence a professional decision, disclose it and step away from the decision; the appearance of a conflict also harms trust.	Believing a conflict is fine as long as the person intends to be fair.	A decision maker with a financial or personal tie to one of the options.
6	Whistleblowing	Employees who find serious wrongdoing should generally use internal reporting channels first, document the facts, and escalate externally if internal channels fail or are compromised; laws protect good-faith reporters from retaliation.	Going to the media first, or staying silent to stay loyal.	An employee who discovers fraud or a safety risk and must decide whom to tell.

#	Concept	Rule	Trap	Tell
7	Effective ethics programs	Values-based programs that combine a clear code, visible tone at the top, training, safe reporting channels, and consistent enforcement outperform compliance-only programs that rely on rules and punishment.	Thinking a written code by itself creates an ethical culture.	A company with a code on the wall but leaders who ignore it.
8	Kohlberg's stages of moral development	Preconventional reasoning centers on avoiding punishment or gaining rewards; conventional reasoning on meeting others' expectations and following laws and norms; postconventional reasoning on universal principles and rights, even against the rules.	Calling rule-following the highest stage.	The reason a person gives for acting: consequences to self, social rules, or principles.

Course scope (public description): Business Ethics is designed to enable students to identify the ethical and socially responsible courses of action available through the exploration of various scenarios in business. Students will also learn to develop appropriate ethics guidelines for a business. This course has no prerequisites.